

Designing a Portfolio

I've heard people say they'd be satisfied with a 25 or 30 percent annual return from the stock market! Satisfied? At that rate they'd soon own half the country along with the Japanese and the Bass brothers. Even the tycoons of the twenties couldn't guarantee themselves 30 percent forever, and Wall Street was rigged in their favor.

In certain years you'll make your 30 percent, but there will be other years when you'll only make 2 percent, or perhaps you'll lose 20. That's just part of the scheme of things, and you have to accept it.

What's wrong with high expectations? If you expect to make 30 percent year after year, you're more likely to get frustrated at stocks for defying you, and your impatience may cause you to abandon your investments at precisely the wrong moment. Or worse, you may take unnecessary risks in the pursuit of illusory payoffs. It's only by sticking to a strategy through good years and bad that you'll maximize your long-term gains.

If 25 to 30 percent isn't a realistic return, then what is? Certainly you ought to do better in stocks than you'd do in bonds, so to make 4, 5, or 6 percent on your stocks over a long period of time is terrible. If you review your long-term record and find that your stocks have scarcely out-performed your savings account, then you know your technique is flawed.

By the way, when you are figuring out how you're doing in stocks, don't forget to include all the costs of subscriptions to newsletters, financial magazines, commissions, investment seminars, and long-distance calls to brokers.

Nine to ten percent a year is the generic long-term return for stocks, the historic market average. You can get ten percent, over time, by investing in a no-load mutual fund that buys all 500 stocks in the S&P 500 Index, thus duplicating the average automatically. That this return can be achieved without your having to do any homework or spending any extra money is a useful benchmark against which you can measure your own performance, and also the performance of the managed equity funds such as Magellan.

If professionals who are employed to pick stocks can't outdo the index funds that buy everything at large, then we aren't earning our keep. But give us a chance. First consider the kind of fund you've invested in. The best managers in the world won't do well with a gold-stock fund when gold prices are dropping.